NETFLIX

NETFLIX DCF VALUATION MODEL

Objective

To estimate the intrinsic value of Netflix Inc. using a 3-statement DCF model.

Approach

Built a 5-year forecast model (2026–2030) incorporating revenue segmentation, cost assumptions, and WACC-based valuation.

Key Result

Intrinsic Value: **$73.61 per share**

Conclusion

Netflix remains a strong long-term compounder with improving margins and free cash flow generation.

PROJECT OVERVIEW

As part of my financial modelling practice, I built a **3-statement DCF valuation model** to evaluate Netflix's intrinsic value.

This project includes:

- Company analysis
- Historical financial performance
- Revenue modelling
- Cost assumptions
- DCF valuation and sensitivity analysis

PROBLEM STATEMENT

Netflix is transitioning from a **high-growth phase to a mature stage**, creating key challenges:

- Revenue growth slowing (~15.9% → ~9%)
- Increasing competition
- High content investment (~38% of revenue)

Key Question:

What is the intrinsic value of Netflix based on its future cash flows?

APPROACH & METHODOLOGY

3.1 Revenue Model

Revenue was projected using a **region-wise approach**:

- UCAN
- EMEA
- LATAM
- APAC

Key drivers:

- Subscriber growth
- ARPU expansion
- Ad-supported tier

3.2 Cost Assumptions

- Content cost declines over time
- Marketing efficiency improves
- Operating leverage drives margins

3.3 Model Structure

- Income Statement
- Balance Sheet
- Cash Flow Statement

VALUATION SUMMARY

KEY VALUATION OUTPUTS

METRIC	VALUE
Enterprise Value	$ 304.9B
Equity Value	$ 310.6B
Intrinsic Value	$73.61/share

FORECAST HIGHLIGHTS (2026–2030)

- Revenue: $51.9B → $80.0B
- EBITDA: $16B → $31B
- Operating Margin: 30% → 38.5%
- Free Cash Flow: $11.8B → $20.5B

Insight:
Netflix becomes a strong free cash flow generating company.

SENSITIVITY ANALYSIS

- Bear Case: ~$55/share
- Base Case: ~$73/share
- Bull Case: ~$111/share

Conclusion:
Valuation is highly sensitive to WACC and terminal growth rate.

KEY LEARNINGS

- Importance of assumptions in valuation
- Revenue drivers differ by region
- Terminal value dominates DCF (~80%)
- Operating leverage improves margins

CONCLUSION

Netflix remains a **high-quality long-term compounder** driven by:

- Ad-tier monetisation
- Margin expansion
- Free cash flow growth

Estimated Fair Value: ~$73/share

FINAL RECOMMENDATION

Based on the DCF valuation and financial projections:

- Netflix offers **attractive long-term upside potential**
- Strong fundamentals support **sustainable growth**

Recommendation:
BUY on pullbacks with long-term investment horizon